

Rising Demand Justifying Local Manufacturing

Now with the demand from Indian electronics market becoming significant, local manufacturing of electronic components makes sense. It will lead to faster supply to electronics manufacturers and also price benefits because of reduced freight costs

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Electronics manufacturing without a components base is like making a tall building without any foundation. Sadly, components manufacturing in India hasn't taken off in a big way, and till date significant percentage of components are being imported, even though many multinational companies have set up manufacturing units for electronics products in the country.

Says Vinod Sharma, managing director, Deki Electronics, "The picture is much worse than we think. In the 1980s, about 40 per cent of the components required in India for electronics manufacturing were manufactured in India. In 1995, this figure fell down to 20 per cent. Then it came down to 10 per cent. Today, it's less than 5 per cent. That means 95 per cent components are imported."

Sharma explains by citing an example: "The biggest growth that has happened in electronics in the last three to four years is in telecom. But what are the components that we supply to cell-phones or telecom towers or switching equipment? Almost nothing. Components that India has been making are largely for consumer electronics (TV sets to start with), including picture tubes, speakers, flyback transformers,